

MACROECONOMIC REPORT- JAN '26



IRISH STUDENT MANAGED FUND

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1. IRISH FINANCIAL SECTOR

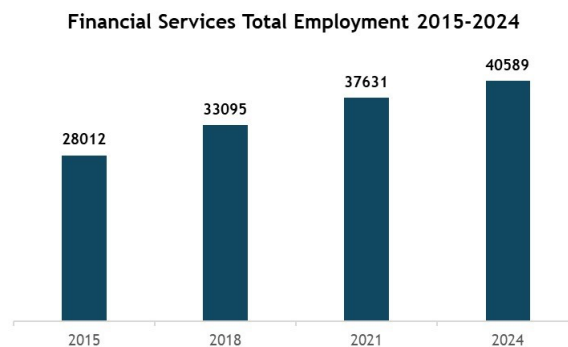
Introduction

The Irish Financial sector continues to a huge part of the Irish economy. It is undoubtedly a disproportionately large contributor to Irish GDP. The sector has always been heavily concentrated on international financial services, and 2025 was no different.

Macroeconomic Importance

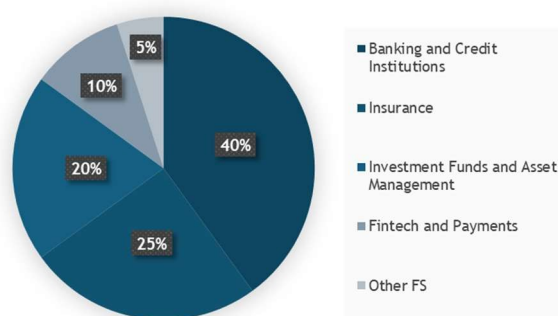
Ireland has been very successful in building an international financial services (IFS) industry in the last 35 years. This ranges from large banks, investment funds, aviation financing and insurance firms. Tax rates in Ireland have been labelled a very attractive feature for companies seeking European bases, along with the highly skilled workforce. This has aided in making Ireland a top EU exporter of financial services, and firmly within the top 10 globally, making up for ~10% of total service exports (November 2024).

The sector currently employs ~41,000 people (2024), a 45% increase from 2015.



Structure of the Irish Financial Sector

The structure of the Irish Financial Sector depends on what lens you analyse the sector through. The makeup changes hugely when we switch between asset makeup and GDP contribution. For the purposes of this report, we will use GDP contribution %. Retail and Commercial Banking leads the way in terms of GDP contribution with factors like employment and fees included. Insurance follows as the next largest player, with Ireland being a huge EU hub for insurance and reinsurance. Investment funds carry a huge amount of assets but have low GVA per euro. Fintech and other financial services makeup the remaining 15%.



Economic Cycles

Ireland experienced very strong GDP growth in 2025 (10.2%), with a much more moderate forecast for 2026 and 2027 (0.2%, 2.7%). Modified domestic demand, which can be a better measure of economic outlook is forecasted to be an average of 3.1% between 2025-2028.

Since 2008, the financial sector has shifted its focus more towards financial stability as opposed to unregulated, rapid economic growth. The sector is now less exposed to property, but systematic risk persists. Due to this, housing cycles and credit growth are very important for the sector.

The Irish Government have committed to delivering 300,000 new homes by the end of 2030, which is a huge tailwind for the sector. An estimated €20 billion in development finance is expected to be required each year from 2025-2030 for the project.

A report published by the Central Bank of Ireland this year estimated the average national credit cycle length to be 14.7 years. See Appendix 1 for graphs related to this analysis.

External Exposure and Openness

The Irish economy is particularly exposed to global capital flows due to the large amount of foreign investment in the country. This means the Irish Balance of Payments is extremely volatile, with direct investment into Ireland falling by €34 billion in Q2 2025.

The IMF 2025 Selected Issues paper links Irish volatility to MNE's, specifically intangible asset relocations, contract manufacturing and FDI-driven profit sharing. It also alluded to the fact Ireland is vulnerable to Global Tax Reform and any changes in US corporate tax laws, a focus of Donald Trump's domestic policy.

Regulation, EU Policy and Stability

The Central Bank of Ireland has stressed throughout 2025 that it wants a shift towards forward-looking risk management, operational resilience and more robust governance.

This is due to MNE's who's decision making power lies outside the country, geopolitical factors and rapidly changing business models, with AI taking the spotlight.

All evidence also suggests that the ECB is in a holding phase, waiting to see how inflation and global trade dynamics play out before considering a rate change. At the European Central Bank's December meeting, president Christine Lagarde reiterated that the central bank was in a "good place" with interest rates at the current level of 2 per cent. This will cause mortgage rates within Ireland to stabilise and allow for predictable credit for corporations.

Current and Forward-Looking Issues

There is an abundance of potential risks for the Irish Financial Sector in the coming months and years.

Trade tensions between the US and EU are a massive fear for all elements of the Irish economy. They are contributing to stretched valuations for global financial markets, which elevates pressures for profitability.

US tax reform puts Ireland and the resident MNE's here at risk of relocation to the US under the Trump administration. As previously mentioned, profit movements and IP relocations are damaging for Ireland's Balance of Payments.

Ireland must battle with the current ECB holding phase, with borrowing costs above pre-2022 levels. Stable rates reduce volatility, but strain property developers and corporations borrowing capabilities.

Combined with rising general construction costs, this is a headwind for the Irish economy and their property development plans which has a knock-on effect to lenders.

AI take up within financial services is becoming the new normal, and Ireland is no different. This may slow graduate recruitment, as new systems improve productivity and lower the need for additional labour within the sector.

APPENDIX 1

FIGURE 1. Benchmark Results - GNI

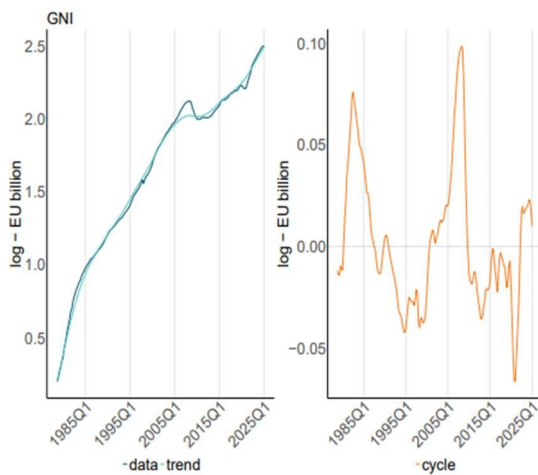


FIGURE 2. Benchmark Results - National Credit

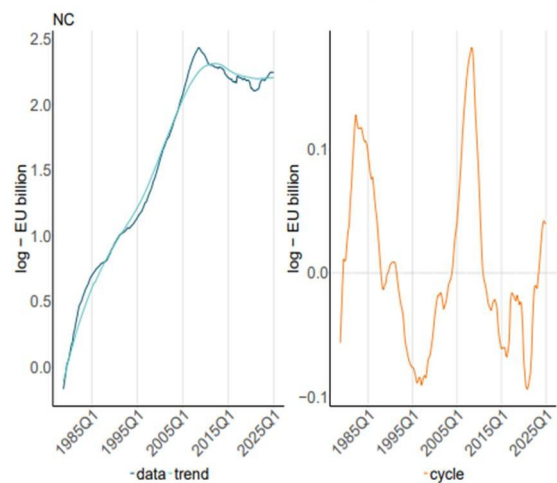


FIGURE 3. Benchmark Results - House Prices

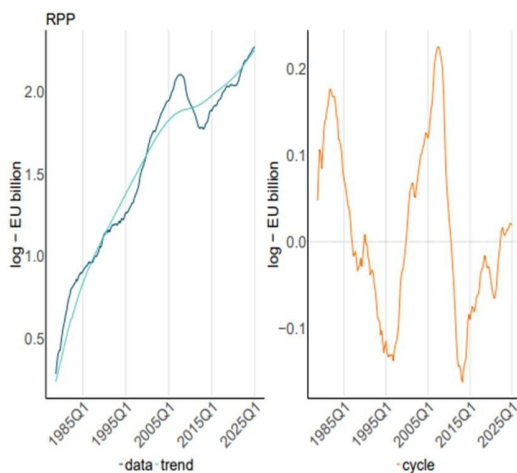
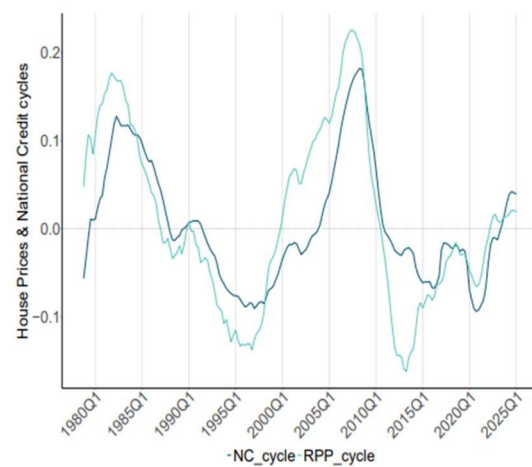


FIGURE 4. Benchmark Results - House Price and National Credit Cycles



2. AI & RAM MARKET SHOCK

AI & Memory Markets: RAM price shock

Whether you are an aspiring PC builder, a software developer or just a casual tech enthusiast. Checking the price of a standard DDR5 kit is going to make you question. A standard purchase that used to be around the 100\$ price range just a few months ago has now more than doubled in price all thanks to big AI. It's not a normal supply-demand shock that people are used to, this has simply changed the market forever and not for the better.

Now let's get a bit more detailed about the rise in RAM prices and the reasons behind it:

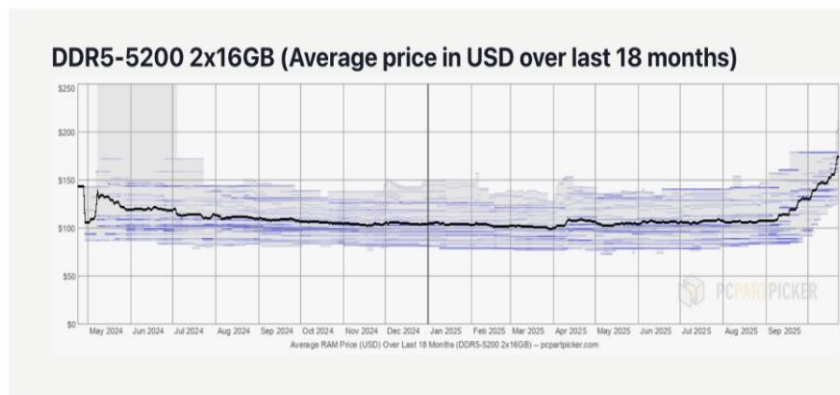
Corporate hoarding by companies such as Dell, Apple and Hp for starters has led to a 'bubble' with even individuals trying to get their hands on whatever is left. The Price of a standard 16GB DDR4 has gone from being around \$50 Last may to being above \$110 as of right now. Of course, the "big bad" in our case is the unrelentless rise of Artificial Intelligence as a whole. The rise of generative AI has led to a massive increase in memory demand for training and implementing models.

To put it into perspective how bad things are, Samsung failed to deal with Samsung, yes that's not a typo. Samsung's smartphone division was unable to buy RAM from Samsung's own RAM manufacturing division simply due to how outpriced they were by AI companies who offered more than double the normal prices. This led to their profits being tripled but the quality of their own future products being at risk.

Micron, one of the biggest manufacturers of RAM has had by far the most controversial response this unreal increase in demand. By announcing the discontinuation of their consumer-based SSD business they have essentially left the individual consumer in the middle of Cavan without a map. Stating that the demand for data centers is growing so fast that they cannot justify selling to individuals, Micron has since prioritised direct sales to enterprises such as Nvidia and Amazon. To further put into context how bizarre the demand is, Micron's entire 2026 HBM production capacity has been already sold out before January ended.

What does this mean for the casual consumer who previously had no idea what RAM even is?

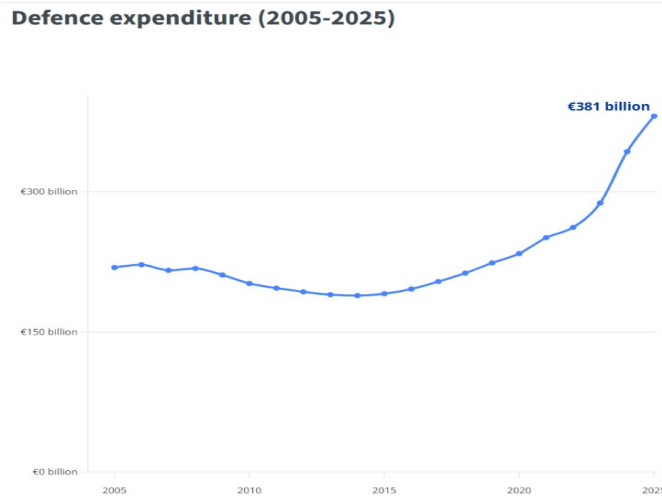
Well thanks to most of the scheduled 2026 production already being sold to enterprises such as Google, Nvidia and Open AI. Be prepared for future flagship phones/laptops to be either much more expensive than what they are currently or for companies to sacrifice RAM quality and launch arguably worse phones. So, while manufacturers such as Micron are building new \$100billion projects and overpaying for previously existing factories it all looks a little too late to help the individual consumer. By now, you're probably wondering when will prices drop? I'd suggest arguably at the same time the job market improves for recent graduates



(Credit: PCPartPicker)

3. EUROPEAN DEFENCE SECTOR

In 2025, the European defence industry continued its rapid transformation driven by heightened geopolitical tensions, particularly Russia's sustained war in Ukraine, and evolving security commitments within the EU and NATO. Total defence expenditure by EU member states is projected to reach approximately €381 billion in 2025, up significantly from previous years, reflecting a multi-year trend of increased military investment.



Source: European Defence Agency

In 2025, NATO members agreed at The Hague to raise defence spending benchmarks significantly, ultimately targeting 3.5 % of GDP by 2035, up from the long-standing 2 % standard, a response to persistent geopolitical risk and U.S. pressure. Capital markets reflected these dynamics. The Stoxx Europe Aerospace & Defence Index surged 55 % over 2025, outpacing broader markets and driving strong rallies in firms like Rheinmetall, BAE, Leonardo and Thales.



Stoxx Europe Aerospace & Defence Index YTD, Source: Financial Times

However, fiscal reality varied across members. Highly indebted states such as Italy and Spain, with debt-to-GDP ratios above 100 %, face financing constraints that may limit their ability to meet ambitious targets without deep fiscal adjustments, unlike Germany and parts of eastern Europe, which have built fiscal flexibility into their defence budgeting.

In 2025, Germany undertook one of the most dramatic shifts in its post-Cold War fiscal and defence policy, resulting in them securing their position as the EU's largest defence spender, reaching the 2 % of GDP NATO benchmark for the first time. A constitutional reform was passed in March 2025 that exempts defence and security spending above 1 % of GDP from the strict “debt brake” limits, allowing the government to borrow beyond previous caps specifically for these purposes.

Germany's fiscal plan envisages further increases toward a 3.5 % NATO benchmark by 2029, reflecting long-term political agreement on security responsibilities. While politically and strategically supported, increased defence spending is also tied to significant increases in public borrowing, which has contributed to higher yields on German government debt. This questions about long-term fiscal sustainability and the risk of crowding out other public investments if economic growth remains muted.

Looking ahead to 2026, Europe's defence spending is expected to continue rising in response to NATO's new 3.5% benchmark, with initiatives such as the European Defence Fund and Rearm Europe expected to facilitate growth. This will require an extra €254 billion and raising total defence expenditure to around €635 billion, according to the European Defence Agency.

However, despite headline targets, many EU states face structural fiscal and political constraints. Economies with high debt, such as Italy and Spain, may struggle to fund projected increases, particularly if macroeconomic growth underperforms or energy costs remain elevated. In addition, EU defence budgets are set nationally, leading to fragmentation, duplication of effort and reduced efficiency. Although EU spending exceeds that reported by Russia (€107 billion) and China (€250 billion) - and those amounts are probably much higher than officially communicated - these countries are likely to achieve greater cost-effectiveness due to centralised planning.

For Germany, the 2026 federal budget plans total defence expenditure of €82.7 billion, or roughly 2.8 % of GDP, financed through the core budget and the ongoing €100 billion special fund. Germany is well-positioned to meet 2026 defence spending targets due to strong fiscal capacity and political consensus on rearmament. However, risks remain including slower GDP growth, rising debt servicing costs, procurement delays and inflationary pressures which could hinder timely execution.

4. COMMODITIES OUTLOOK

Commodity markets are entering 2026 in a divided state, with growth-sensitive commodities reflecting uneven global expansion while precious metals—most notably gold—are increasingly driven by macroeconomic risk considerations.

Across energy, industrial metals, and agriculture, prices continue to respond mainly to demand expectations and slowing but still positive global growth. Forecasts from the IMF and World Bank suggest that while global activity remains resilient, it is uneven across regions and vulnerable to policy shocks, leaving many commodities trading within established ranges rather than trending strongly higher. In contrast, gold has broken decisively upward, reaching record highs despite the absence of supply shortages or a surge in industrial demand.

Gold's rise is best understood through its role as a safe-haven asset. Investors are responding to persistent geopolitical

tensions, concerns over trade restrictions, and uncertainty around fiscal and monetary policy paths. Even as inflation has eased from its peak, real interest rates are expected to decline gradually over the medium term, improving gold's appeal relative to yield-bearing assets.

Periods of market stress have also triggered inflows into gold-backed exchange-traded funds, reinforcing price momentum.

Central bank demand has become a key structural driver. According to the World Gold Council, official sector purchases have remained strong, with emerging-market central banks continuing to diversify reserves away from the U.S. dollar. This steady source of demand has reduced downside risk and helped sustain higher price levels. Private sector research from major banks similarly points to geopolitical risk, reserve diversification, and portfolio hedging as core reasons behind gold's strength.

Overall, gold is behaving less like a typical commodity and more like a financial hedge. Its record valuation reflects a market willing to pay a premium for stability and protection in an uncertain macroeconomic environment.

5. GREENLAND: GEOPOLITICAL DEVELOPMENTS

In early 2026, U.S. President Donald Trump reignited controversy over Greenland, asserting that the vast Arctic territory was of "critical strategic importance" to U.S. national security and suggesting that Washington should acquire control of the island to counter Russian and Chinese influence, comments that included public threats to impose tariffs on European NATO allies that opposed his position. Trump warned that punitive duties could reach 25% on imports from key EU states unless a Greenland deal was concluded, a move that Europe's leaders denounced as economic coercion and detrimental to transatlantic relations.

European capitals responded with unusually forceful language defending sovereignty and territorial integrity, and some officials prepared counter-tariff measures worth tens of billions of euros. At a subsequent summit in Davos, Trump dropped the tariff threat and framed an understanding with NATO leadership that focused on boosting collective Arctic security rather than territorial change, leaving the crisis formally defused but underscoring unresolved tensions within the alliance over burden-sharing and strategic priorities.



The escalation of the Greenland dispute in January triggered a classic "risk-off" sequence, characterised by a sharp divergence between broader equities and the defence sector. The STOXX Europe Aerospace C Defence Index surged approximately 15% in the first three weeks of January, as investors bet that U.S. unpredictability would force a rapid front-loading of EU military procurement. Germany's Rheinmetall specifically gained over 20% during this period. Conversely, broader markets buckled under the threat of tariffs. The SCP 500 plummeted 2.1% on January 20, its worst session since October, while the DAX 40 fell 1% as auto giants like BMW faced potential trade barriers.

This uncertainty drove a massive flight to safety, with Gold hitting a record \$4,887/oz and silver peaking at \$95.52/oz. The 10-year U.S. Treasury yield spiked to a five-month high of 4.31% on January 20, driven by fears that a trade war would stoke domestic inflation. Conversely, German debt acted as a regional haven and the 10-year Bund yield initially dipped

to 2.82% as investors fled to the safety of the Eurozone's largest economy. However, the subsequent de-escalation at the Davos summit on January 21st sparked a rapid recovery, with the SCP 500 rebounding 1.2% after Trump withdrew the tariff threats and pivoted toward a security framework with NATO.

The Davos Framework, negotiated primarily between Trump and NATO Secretary-General Mark Rutte, centres on the "Arctic Sentry" initiative, a permanent NATO mission to monitor Russian and Chinese naval activity. This also includes potential integration of Greenland into the \$175 billion "Golden Dome" missile defence shield. Crucially, while the framework de-escalated immediate tensions, it remains legally fragile. The U.S. continues to lobby for "ownership-like" access to Greenland's critical minerals, while Denmark and the EU maintain that sovereignty is non-negotiable.

This episode has fundamentally altered the European outlook, effectively ending the illusion of a stable transatlantic security umbrella. European leaders are now fast-tracking Strategic Autonomy initiatives to prepare for future instances of U.S. economic leverage. As a result, 2026 is projected to see a permanent shift in EU fiscal policy, with member states treating defence rearmament not just as a NATO obligation, but as a mandatory prerequisite for sovereign survival in an era of unpredictable American diplomacy.

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